Besides stopping or downsizing EC2 instances, you have two options to reduce costs: *Spot Instances* and *Savings Plans*. Both help to reduce costs but decrease your flexibility. With a Spot Instance, you take advantage of unused capacity in an AWS data center. A Spot Instance comes with a discount of up to 90% compared to on-demand instances. However, AWS might terminate a Spot Instance at anytime when the resources are needed for someone else, so this type of instance is for stateless and fault-tolerant workloads only. With Savings Plans, you commit to a certain amount of resource consumption for one or three years and get a discount in turn. Therefore, Savings Plans are a good fit if you are running workloads with planning security. Table 3.2 summarizes the differences between the pricing options.

Table 3.2 Differences between on-demand instances, Savings Plans, and Spot Instances

	On-demand instances	Savings Plans	Spot Instances
Price	High	Medium	Low
Flexibility	High	Low	Medium
Reliability	High	High	Low
Scenarios	Dynamic workloads (e.g., for a news site) or proof of concept	Predictable and static workloads (e.g., for a business application)	Batch workloads (e.g., for data analytics, media encoding, etc.)

3.8.1 Commit to usage, get a discount

AWS offers the following two types of Savings Plans for EC2:

- Compute Savings Plans do not apply only to EC2 but also to Fargate (Container) and Lambda (Serverless) as well.
- EC2 Instance Savings Plans apply to EC2 instances only.